CLOSING STATEMENT

Pelican Crestline Medical Plaza | Philadelphia, PA

Property	Pelican Crestline Medical Plaza
Settlement Date	May 21, 2019
Buyer	Cascadia Rock Capital
Seller	Stonehaven Asset Partners
Sale Price	$67,640,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$67,640,000			
Earnest money deposit		$20,617	$20,617	
Real estate tax proration	$453,657			$453,657
Rent proration			$233,953	
Security deposits assumed	$58,446	$58,446		
Prepaid rents			$241,430	$241,430
Owner's title policy premium	$620,586			
Lender's title policy premium		$666,407	$666,407	
Escrow fee	$275,328			$275,328
Recording fees			$190,356	
Transfer tax	$186,042	$186,042		
Survey			$476,088	$476,088
Legal fees - Buyer	$63,410			
Legal fees - Seller		$395,272	$395,272	
Broker commission	$69,931			$69,931
Loan origination fee			$293,672	
Lender legal	$410,777	$410,777		
Appraisal fee			$659,192	$659,192
Environmental report	$512,396			
Property condition report		$164,913	$164,913	
Tax escrow deposit	$446,467			$446,467
Insurance escrow deposit			$320,449	
Replacement reserve deposit	$468,893	$468,893		
Utility deposits			$260,406	$260,406
Assumed vendor contracts credit	$447,642			

Report generated 05/21/2019. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$67,640,000			
Legal fees - Seller		$565,361	$565,361	
Broker commission	$407,705			$407,705
Loan origination fee			$483,195	
Lender legal	$426,335	$426,335		
Appraisal fee			$49,941	$49,941
Environmental report	$305,970			
Property condition report		$426,297	$426,297	
Tax escrow deposit	$119,947			$119,947
Insurance escrow deposit			$112,098	
Replacement reserve deposit	$178,801	$178,801		
Utility deposits			$259,029	$259,029
Assumed vendor contracts credit	$261,298			
Tenant improvement credit		$262,311	$262,311	
Courier / wire fees	$540,518			$540,518
Municipal certificates			$470,817	
Purchase price	$516,392	$516,392		
Earnest money deposit			$627,470	$627,470
Real estate tax proration	$560,830			
Rent proration		$571,027	$571,027	
Security deposits assumed	$484,881			$484,881
Prepaid rents			$205,914	
Owner's title policy premium	$305,110	$305,110		
Lender's title policy premium			$520,880	$520,880
Escrow fee	$427,420			
Recording fees		$103,371	$103,371	
Transfer tax	$201,241			$201,241
Survey			$269,876	

Report generated 05/21/2019. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Income and Expense Review

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $270,000 or approximately 17.16 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 3.4% over the hold period.

Net operating income is projected to grow at a compound annual rate of 3.6% over the hold period. Debt service coverage ratio was 7.04x on a trailing basis against a covenant minimum of 1.20x. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The going-in capitalization rate of 7.56% reflects the in-place income and the stabilized occupancy assumption.

Income and Expense Review

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 4.5% of collected revenue and are included in operating expenses. Patient parking and ADA-compliant access are provided at a ratio of 43 spaces per 1,000 square feet. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The going-in capitalization rate of 6.07% reflects the in-place income and the stabilized occupancy assumption.

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The going-in capitalization rate of 7.05% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $117,000 or approximately 9.51 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.6% over the hold period.

Operating Performance

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The going-in capitalization rate of 6.34% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.49x on a trailing basis against a covenant minimum of 1.20x. Patient parking and ADA-compliant access are provided at a ratio of 38 spaces per 1,000 square feet. Operating expenses totaled $448,000 or approximately 10.86 per square foot, with real estate taxes representing the largest line item.

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 5.43x on a trailing basis against a covenant minimum of 1.20x.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$67,640,000			
Tenant improvement credit		$74,081	$74,081	
Courier / wire fees	$233,552			$233,552
Municipal certificates			$660,299	
Purchase price	$468,994	$468,994		
Earnest money deposit			$177,337	$177,337
Real estate tax proration	$206,059			
Rent proration		$280,468	$280,468	
Security deposits assumed	$425,564			$425,564
Prepaid rents			$158,822	
Owner's title policy premium	$547,904	$547,904		
Lender's title policy premium			$594,206	$594,206
Escrow fee	$394,222			
Recording fees		$163,102	$163,102	
Transfer tax	$122,279			$122,279
Survey			$532,485	
Legal fees - Buyer	$15,461	$15,461		
Legal fees - Seller			$179,092	$179,092
Broker commission	$97,183			
Loan origination fee		$629,786	$629,786	
Lender legal	$553,259			$553,259
Appraisal fee			$289,885	
Environmental report	$221,977	$221,977		
Property condition report			$411,814	$411,814
Tax escrow deposit	$417,227			
Insurance escrow deposit		$246,977	$246,977	
Replacement reserve deposit	$652,363			$652,363
Utility deposits			$208,001	

Report generated 05/21/2019. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Income and Expense Review

Operating expenses totaled $385,000 or approximately 12.05 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 3.3% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.73% reflects the in-place income and the stabilized occupancy assumption.

Operating expenses totaled $457,000 or approximately 38.40 per square foot, with real estate taxes representing the largest line item. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Effective gross income for the trailing period was $128,000, representing a 8.0% increase over the prior year. Patient parking and ADA-compliant access are provided at a ratio of 26 spaces per 1,000 square feet.

Operating Performance

Net operating income is projected to grow at a compound annual rate of 4.9% over the hold period. Operating expenses totaled $36,000 or approximately 23.97 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $407,000, representing a 11.9% increase over the prior year. Patient parking and ADA-compliant access are provided at a ratio of 47 spaces per 1,000 square feet. Debt service coverage ratio was 5.03x on a trailing basis against a covenant minimum of 1.20x.

Management fees are calculated at 4.9% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $469,000, representing a 13.5% increase over the prior year. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Operating Performance

Management fees are calculated at 7.0% of collected revenue and are included in operating expenses. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Patient parking and ADA-compliant access are provided at a ratio of 29 spaces per 1,000 square feet. Operating expenses totaled $146,000 or approximately 26.30 per square foot, with real estate taxes representing the largest line item. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Debt service coverage ratio was 6.33x on a trailing basis against a covenant minimum of 1.20x.

Net operating income is projected to grow at a compound annual rate of 5.5% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Patient parking and ADA-compliant access are provided at a ratio of 26 spaces per 1,000 square feet. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Escrow fee	$67,640,000			
Recording fees		$17,622	$17,622	
Transfer tax	$443,493			$443,493
Survey			$633,721	
Legal fees - Buyer	$560,352	$560,352		
Legal fees - Seller			$466,315	$466,315
Broker commission	$129,237			
Loan origination fee		$178,521	$178,521	
Lender legal	$532,598			$532,598
Appraisal fee			$339,846	
Environmental report	$607,866	$607,866		
Property condition report			$550,790	$550,790
Tax escrow deposit	$191,290			
Insurance escrow deposit		$589,915	$589,915	
Replacement reserve deposit	$662,428			$662,428
Utility deposits			$81,195	
Assumed vendor contracts credit	$519,273	$519,273		
Tenant improvement credit			$16,810	$16,810
Courier / wire fees	$294,614			
Municipal certificates		$291,117	$291,117	
Purchase price	$669,725			$669,725
Earnest money deposit			$600,353	
Real estate tax proration	$365,840	$365,840		
Rent proration			$366,591	$366,591
Security deposits assumed	$340,339			
Prepaid rents		$15,244	$15,244	
Owner's title policy premium	$447,271			$447,271
Lender's title policy premium			$139,166	

Report generated 05/21/2019. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

_____

Pelican Crestline Medical Plaza Owner LLC

By: Natalie Underwood Title: Manager Date: 05/21/2019

_____

Crescent Orthopedics

By: Olivia Walker Title: Managing Member Date: 05/21/2019

Exhibit A - Property

Pelican Crestline Medical Plaza, 2721 Grand Street, Philadelphia, PA 69423. Parcel containing approximately 28.81 acres, together with all improvements thereon.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only